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FINALLY, WE'RE INVESTING

We resist investing for many reasons. No money, concerns about safety, not knowing where to invest are just some of the excuses we make. In this chapter we understand the right way to think about investing so that we take risk, but with a seat belt on.

I began serious investing quite late in my life. The early years of a career are marked by tiny salaries and fairly high costs, especially if you are supporting an extended family. The years between twenty-five to thirty-five are really tough for a young couple. Marriage, kids, setting up your home cost, and in some cases you have to look after an extended family as well. The incomes are small as this is the beginning of the career and even two-income homes find it difficult to balance all the competing needs.

I remember how difficult that public provident fund (PPF) contribution used to be at the end of the year, and how my husband and I would struggle to make it. But we were committed to making that contribution because we were both working for India's first personal finance magazine – *Intelligent Investor* (now called *Outlook Money*) – and I had worked out that Rs 5,000 a month in PPF over thirty years would make me a crorepati.

Back in those days, PPF used to give 12 per cent and the value of a crore was a much, much bigger deal than it is today. Remember, in the 1990s a 2 BHK (bedroom, hall and kitchen) in south Delhi cost just Rs 25–30 lakhs. Those